TAIWAN SEMICONDUCTOR MANUFACTURING CO LTD

TSM | ANNUAL through 2025-12-31 | As of 2026-10-11

FINANCIAL PROFILE

TWD | reported units, scaled for display

Revenue	**3,809.05 bn**	Free cash flow	**1,002.57 bn**
Operating EBIT proxy	**1,936.09 bn**	Gross debt	**N/A**
EBITDA proxy	**2,624.19 bn**	Gross leverage	**N/A**
Operating cash flow	**2,274.98 bn**	Interest coverage	**N/A**

SCREENING SCORE N/A | coverage 25% | possible 25.0-100.0

Uncalibrated screening heuristic; not a rating, default probability or investment recommendation.

EBITDA uses a D&A scope proxy. Debt includes verified disposal-group borrowings where reported; gaps stay N/A.

CREDIT STRENGTHS

Operating cash flow provides a substantial internal funding base for capital investment and potential debt service, though its durability through semiconductor cycles remains an analyst inference rather than an established fact. The cash conversion profile appears supported by the reported revenue and operating income figures, but the absence of a verified debt total prevents a definitive leverage assessment. [1]

The balance sheet shows a current ratio comfortably above one, indicating positive working capital and a liquidity cushion that could absorb near-term obligations. However, this ratio reflects only current assets and liabilities and does not capture the maturity profile of any interest-bearing debt, which remains unverified in the provided bundle. [1]

KEY RISKS

The risk-factor passage describes rising political and trade tensions, including tariffs, export controls and sanctions that affect the semiconductor industry. It also describes United States trade investigations targeting Taiwan that could result in additional tariffs. These disclosed policy risks may raise operating costs and disrupt customer demand; their future impact remains uncertain. [1]

A complete interest-bearing debt total, including current maturities, was not verified, so gross leverage, net leverage, and interest coverage cannot be calculated from the available data. This missing evidence limits the ability to assess refinancing needs or the priority of claims against cash flows, and any conclusion about debt servicing would be speculative. [1]

DEBT SERVICING CAPACITY

Free cash flow, derived from operating cash flow less capital expenditures, remains positive and may contribute to debt service. However, without verified debt and gross interest expense inputs in this dataset, coverage of financing obligations cannot be measured. Cash generation supports an analyst inference about capacity, rather than a verified conclusion about actual repayment requirements. [1]

Cash and cash equivalents are substantial, but the absence of a debt total prevents calculation of net debt or a net leverage ratio. Consequently, the liquidity headroom relative to borrowings is unknown, and any statement about future repayment or refinancing flexibility would be an inference unsupported by verified figures. [1]

OVERALL CREDIT VIEW

The available evidence points to a large-scale, cash-generative foundry with positive operating cash flow and a current ratio above one, which are supportive credit characteristics. However, the absence of verified debt and interest expense metrics means leverage and coverage cannot be assessed, so the credit view remains incomplete and any rating or default probability would be speculative. [1]

The risk-factor passage highlights trade tensions and potential tariffs targeting Taiwan, which could pressure future cash flows and refinancing conditions. Because debt and interest metrics are missing, the analyst cannot determine whether current cash generation would comfortably cover future debt service, and the credit outlook should be treated as an inference subject to material data gaps. [1]

SOURCES & METHOD

[1] SEC filing tsm-20251231.htm